Terms to Remember

Quality Firewood & Materials — a plain-English guide to the words we use in this engagement. No finance background required; if a term comes up in a meeting and it is not on this sheet, ask and we will add it.

Term	Stands For	What It Means Here
MAM	Management Accountability Meeting	The Wednesday 1:00 pm working meeting. We review progress, and every action item leaves the room with an owner and a due date.
UDE	Undesirable Effect	A named, specific bad outcome we log and track until it is fixed. Naming the problem is the first step to killing it.
KPI	Key Performance Indicator	The small set of numbers that tell us whether the business is winning. We watch them every week, not once a year.
AP	Accounts Payable	The bills we owe suppliers and vendors but have not paid yet. Owing money is normal business — the goal is to pay on time, not late.
AR	Accounts Receivable	Money customers owe us for product already delivered. Until it is collected, that sale is just paperwork, not cash.
AR Aging	—	A list of who owes us money and how long they have owed it. The older an invoice gets, the less likely it ever turns into cash.
Balance Sheet	—	What the business owns, what it owes, and what is left over for the owner — a snapshot on one date, not a story over time.
Blood Wall	—	The posted wall of UDEs and commitments everyone can see: what is broken, who owns the fix, and when it is due.
Break-Even	—	The amount of sales needed in a period just to cover all the costs. Above that line we make money; below it we lose money. *Math: Break-Even Sales = Fixed Costs ÷ Gross Margin %*
Cash Runway	—	How many weeks the business can keep running on the cash it has plus the cash coming in. When the runway gets short, spending gets strict. *Math: Runway (weeks) = Cash on Hand ÷ Average Weekly Net Cash Out*
Cash vs. Profit	—	Profit is what the books say we earned; cash is what actually hit the bank. A profitable month can still leave the account empty when the money is parked in inventory or unpaid invoices.
CFM	Cash Flow Model	Our 13-week forward look at cash coming in and going out, updated weekly (weeks end on Saturdays). It warns us ahead of time when money will get tight.
COGS	Cost of Goods Sold	What we paid for the product we sold — the wood, stone, and pottery, plus the freight to get it here. It comes out of every sales dollar first.

Term	Stands For	What It Means Here
Current Ratio	—	What we own short-term divided by what we owe short-term. It answers one question: if every bill due soon came due, could we cover it? *Math: Current Ratio = Current Assets ÷ Current Liabilities*
Depreciation	—	Spreading the cost of big purchases — trucks, loaders — over the years we use them. It shows up as a cost on paper even in months we pay nothing.
Fixed vs. Variable Costs	—	Fixed costs happen whether we sell or not: rent, insurance, salaries. Variable costs only happen when we buy or sell: product, freight, delivery fuel.
Gross Margin	—	The share of each sales dollar left after paying for the product itself. Sell a cord for $100 that cost us $53, and gross margin is 47%. *Math: Gross Margin % = (Sales − COGS) ÷ Sales*
Inventory Turns	—	How many times a year we sell through the stock in the yard. Product that sits for years is cash frozen where nobody can spend it. *Math: Turns = COGS ÷ Average Inventory Value*
Markup vs. Margin	—	Two different ways to talk about the same dollars, and mixing them up underprices product. A cord that costs $53 and sells for $100 is an 89% markup but a 47% margin. *Math: Markup % = (Price − Cost) ÷ Cost • Margin % = (Price − Cost) ÷ Price*
Net Margin	—	The share of each sales dollar left after ALL costs — product, payroll, fuel, repairs, everything. This is the number that has to end up positive. *Math: Net Margin % = Net Income ÷ Sales*
Overhead	—	Everything it costs to keep the doors open that is not the product itself. Gross profit has to cover all of it before anything is truly earned.
P&L	Profit and Loss Statement	The report showing sales, costs, and what was left over for a period.
Payment Terms	e.g. Net 30	What we agree to when we invoice: Net 30 means full payment is due within 30 days. Terms we give customers are free loans from us; terms we get from suppliers are free loans to us.
Reconciliation	—	Matching the books against the bank statement line by line until they agree. Done every month, it catches errors, missed charges, and surprises while they are still small.
Seasonality	—	The predictable yearly rhythm of the business: summer is the trough, October through January is the firewood peak. We plan cash and buying around it instead of being surprised by it.
Top Line vs. Bottom Line	—	Top line is total sales; bottom line is what is left after everything. Growing the top line means nothing if the bottom line does not follow.